TEAM 4 REPORT

PROBLEM 1 : MANCHESTER PICCADILLY (Allocated £300k)

Justification

Manchester Piccadilly runs at an unsustainable **£47,828 annual loss**, the only store to run at a loss despite having the largest revenue of **£1,110,643.61.** This is due to an exorbitant station concourse rent of **£366,000/year (33% of sales)**. In addition, the high rent has caused the manager to cap staffing levels, leading to burnout and highest turnover rate of all stores (**230% a year**) and staff stay, on average, for 5 months.

1. Rent Negotiation & Commercial Space Monetisation: Sub-Leasing & Pop-Ups

- **The Problem:** Station footfall peaks heavily during morning and lunch rushes but drops significantly after 16:30, leaving premium retail footprint under-utilised during off-peak evening hours.
- **The Solution:**
    - Keep the site due to high sales
    - Attempt to negotiate a base rent reduction of 15%, reducing our loss by £55,000
    - Move to a ‘grab n’ go’ model - reduce seating to 15 and keep 800 sq ft. of the store for the café. 1.1k sq ft. are sub-leased
    - Sub-lease the area during off-peak hours (16:30 – 22:00) for private B2B corporate events and meetings, tech meetups, brand activations, barista teaching, networking drinks.
    - Allow small local businesses to hold pop-up stalls using the space during peak hours
- **Financial Lift:** Hosting 2 evening corporate hires per week (£1,000 venue fee) plus micro-retail pop-ups (£100 a day) generates **£52,000 to £104,000+ per year** in high-margin additional revenue to directly offset fixed occupancy costs.

2. Increased and Focused Staffing

- **The Problem:** Capped payroll has forced understaffing during peak rushes, causing server burnout, a network-high 230% annual staff turnover rate, and severe counter bottlenecks on Piccadilly's £212,713 annual delivery and in store rush volume.
- **The Solution:**
    - Reallocate labour hours to double-staff the coffee and dispatch counters specifically during the 7:30–9:30 AM and 12:00–14:00 PM peak rush windows.
    - Offload peak order-taking and payment processing to the mobile app (Click & Collect), freeing in store staff to focus 100% on rapid drink execution and handoff rather than manual register operation.
    - Increase staff pay by 50p an hour to improve retention
    - Implement dedicated delivery order counter allowing customers to be separated from delivery orders, reducing waiting times
- **Financial Lift:** Wage increase will cost £12k a year, however annual staff turnover will go down as well as onboarding costs allowing us to recover **£50,000** in costs

PROBLEM 2: APP IMPROVEMENT (Allocated £600k)

In addition to Manchester Piccadilly, Hull Paragon and Leeds Trinity also report issues of very high morning and lunch peaks. Customers have complained of long queues, making them leave before they purchase anything (**~£200k loss**). The app can be used to improve the number of people using click and collect. The app has seen great success, with 56% of customers signed up as well as a 20% increase in downloads since the launch of the latest version of the app. The app can also be used to more accurately track customer orders and also provide them with personalised offers as suggested by Head of Digital.

1. Click & Collect (Order Ahead)

- **The Problem:** High-density transit locations (like Manchester Piccadilly) suffer from long lunch queues, causing staff burnout and lost customer sales from commuters who walk away.
- **The App Solution:**
    - Allows customers to order ahead and pick up from a dedicated express counter.
    - Reduces counter interaction time from 90 seconds to 5 seconds per customer, increasing throughput during peak hours without adding labor costs.
    - Staff able to more accurately predict demand over time, helping to focus staffing during peak hours
- **Financial Lift:** Recovers an estimated **£150,000 to £200,00+ per year** in previously lost rush-hour revenue and also leads to lower training costs as staff turnover decreases due to more staff being on

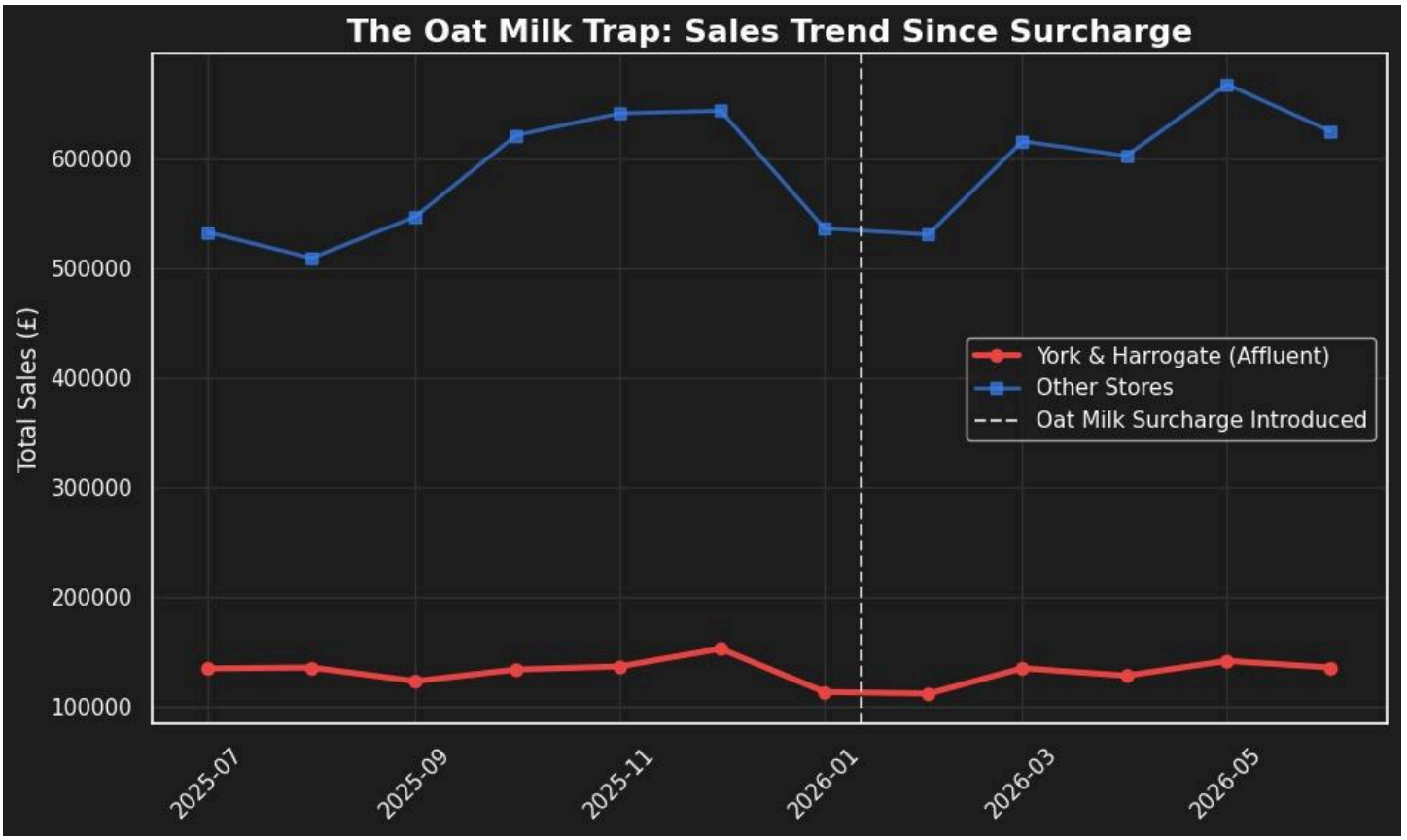
2. Loyalty Expansion & App-Exclusive Free Oat Milk

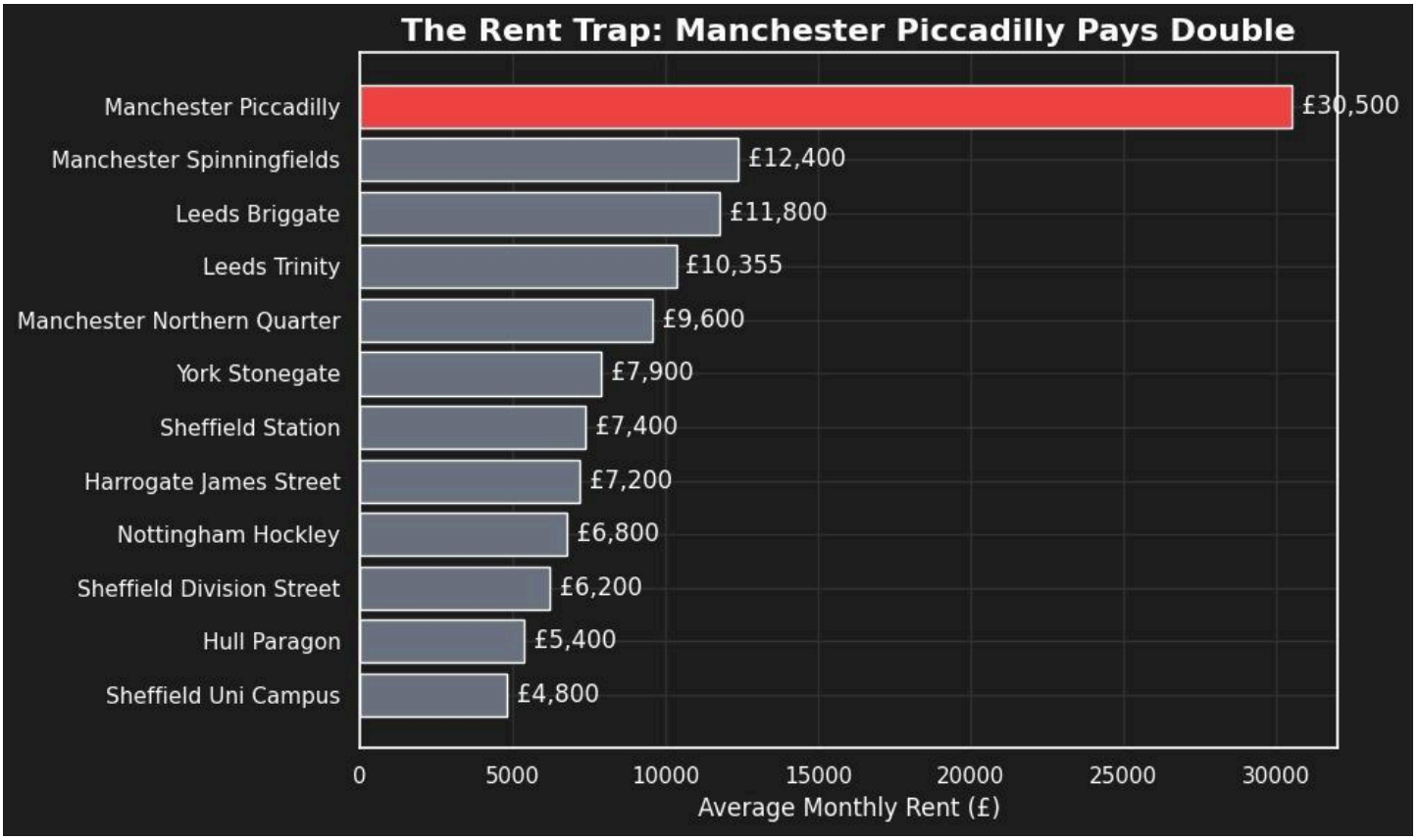
- **The Problem:** 44% of customers do not use the app so insights into customer spending habits are greatly reduced. 30% of surveyed customers drink oat milk, and charging a 40p surcharge is driving regulars to local competitors who don't charge extra. Unhappy customer comments:
    - “Charging extra for oat milk feels unfair, Bean Social doesn't." — Multiple Survey Respondents
    - "Oat milk surcharge is a joke when other chains dropped theirs." — Google & TripAdvisor Reviews
- **The App Solution:**
    - Make oat milk **100% free exclusively for customers who use the app to order or scan at checkout**, while keeping the 40p charge for standard walk-ins and third-party delivery apps.
    - Encourages people to download the app, incentivising click and collect service
    - Able to get more data on customer spending habits allowing for targeted offers and push notifications
    - As suggested by Head of Digital, add personalised offers
    - Tiered loyalty:
        - Tier 1 (Bean Beginner): Buy 9 coffees, get one coffee (excl. Iced or limited edition) free. If those 9 coffees are bought in a month, the customer goes into Tier 2
        - Tier 2 (Central Perk): Spend £100 a month, get any free drink of their choice. Customer goes into Tier 3
        - Tier 3 (Espresso Yourself): If top 10% of all customers, customer gets priority click and collect and access to exclusive limited edition drinks
- **Financial Lift:** Protects non-app surcharge revenue (around £120k a year), stops customer churn, and is used as an acquisition tool for driving app downloads among the 18–34 demographic.

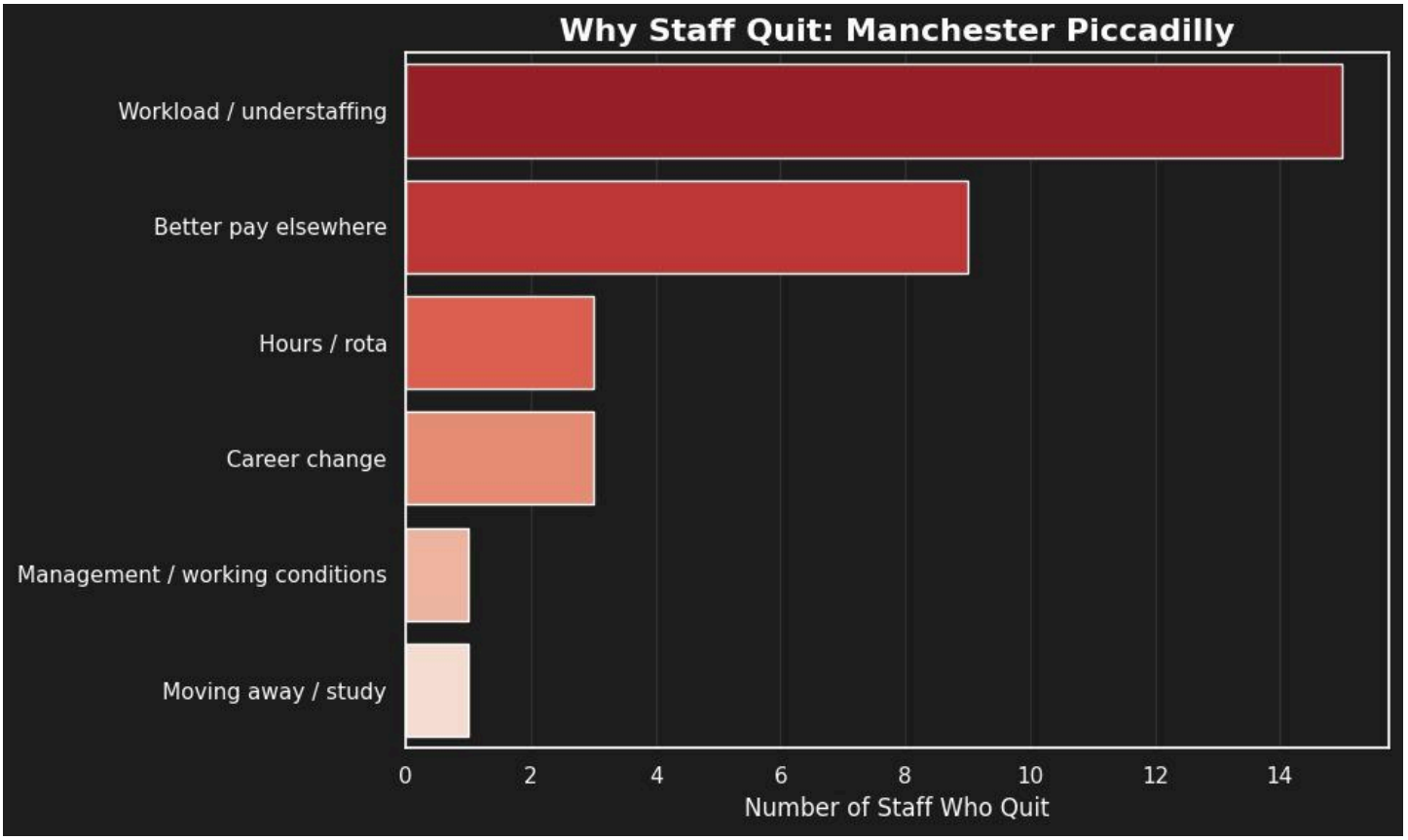
3. Direct Channel Shift (Aggregator Bypass)

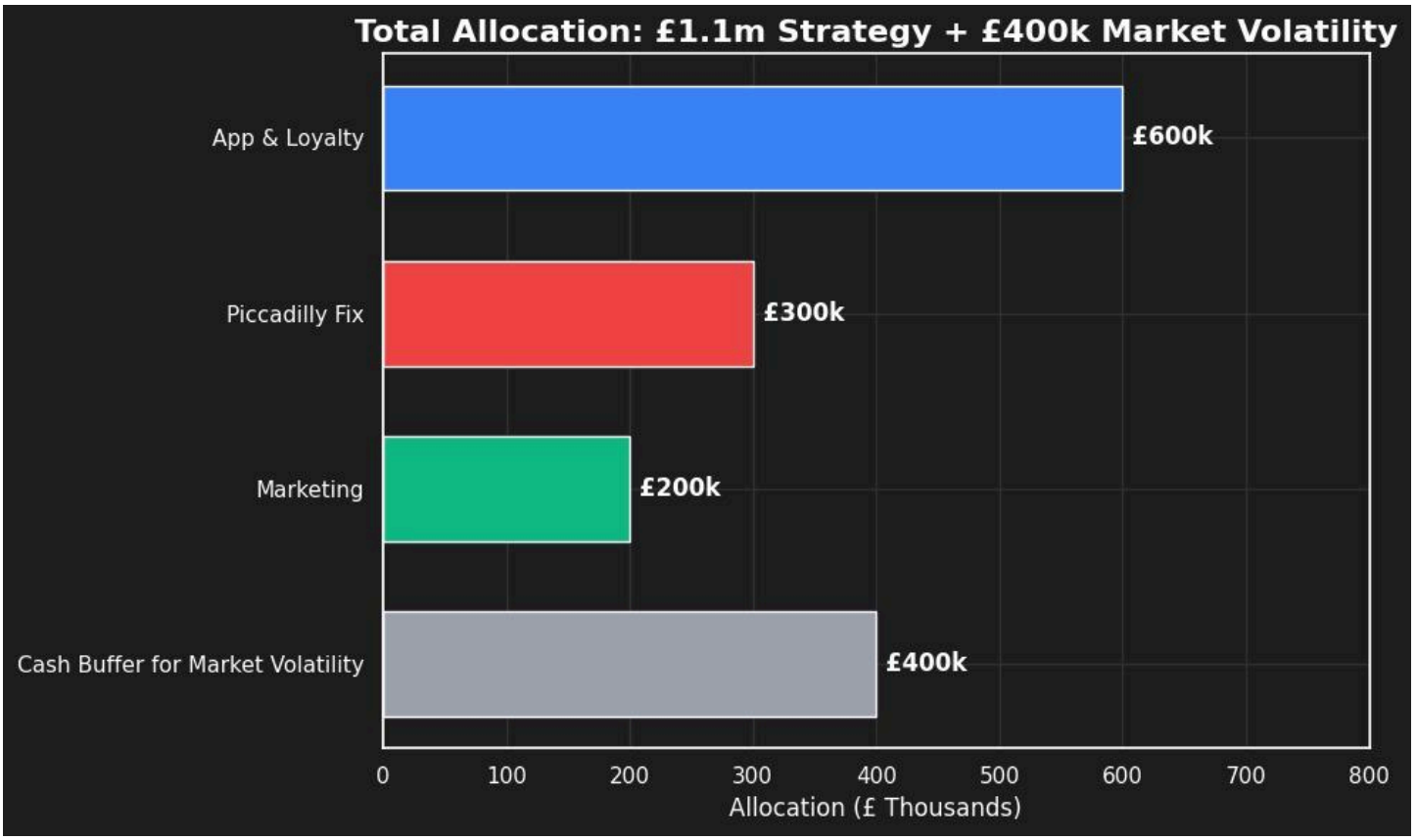
- **The Problem:** Third-party delivery platforms (Dashly and RushEats) take **29.6% in average commission fees** (£424,000 lost annually across £1.43M in delivery sales).
- **The App Solution:**
    - Offer app-exclusive perks (free oat milk upgrades and digital loyalty stamps) to incentivise users to order directly for pickup or buy instore
- **Financial Lift:** Shifting just **15% of delivery volume** to direct app orders saves **£63,617 in commission fees annually**.

APPENDIX


The Oat Milk Trap: Sales Trend Since Surcharge
Total Sales (£)
600000
500000
400000
300000
200000
100000
2025-07
2025-09
2025-11
2026-01
2026-03
2026-05
York & Harrogate (Affluent)
Other Stores
Oat Milk Surcharge Introduced


The Rent Trap: Manchester Piccadilly Pays Double
Manchester Piccadilly
£30,500
Manchester Spinningfields
£12,400
Leeds Briggate
£11,800
Leeds Trinity
£10,355
Manchester Northern Quarter
£9,600
York Stonegate
£7,900
Sheffield Station
£7,400
Harrogate James Street
£7,200
Nottingham Hockley
£6,800
Sheffield Division Street
£6,200
Hull Paragon
£5,400
Sheffield Uni Campus
£4,800
0
5000
10000
15000
20000
25000
30000
Average Monthly Rent (£)


Why Staff Quit: Manchester Piccadilly
Workload / understaffing
Better pay elsewhere
Hours / rota
Career change
Management / working conditions
Moving away / study
0
2
4
6
8
10
12
14
Number of Staff Who Quit


Total Allocation: £1.1m Strategy + £400k Market Volatility
App & Loyalty
£600k
Piccadilly Fix
£300k
Marketing
£200k
Cash Buffer for Market Volatility
£400k
0
100
200
300
400
500
600
700
800
Allocation (£ Thousands)